



Business Analysis & Valuation **Mankind Pharma Ltd.**

Company Overview

Introduction

Mankind Pharma Limited was incorporated on July 3, 1991, as a Private Limited Company with the name "Mankind Pharma Private Limited", by the Registrar of Companies, Delhi and Haryana, at New Delhi. Pursuant to conversion of Company to a Public Limited dated July 14, 2005, name of the Company was changed to "Mankind Pharma Limited" and the RoC issued a fresh Certificate of Incorporation on April 13, 2006. The Company is engaged in developing, manufacturing and marketing a diverse range of pharmaceutical formulations and chronic therapeutic areas across, as well as several consumer healthcare products.

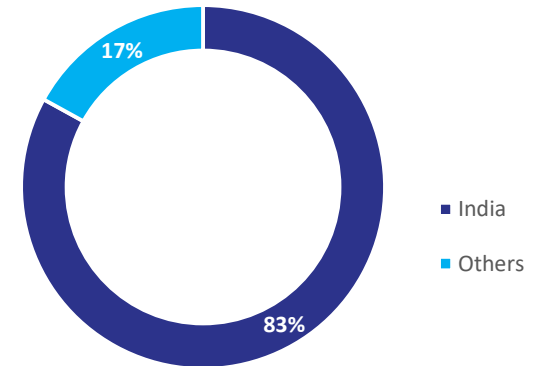
Business Presence

The company operates 30 manufacturing units across various locations, including 22 units in Paonta Sahib (Himachal Pradesh), 2 units in Haridwar (Uttarakhand), and 2 units in Udaipur & Behror (Rajasthan). Additionally, it has one unit each in South Sikkim (Sikkim) , Pune (Maharashtra) , Vishakhapatnam (Andhara Pradesh) , Birgunj (Nepal)

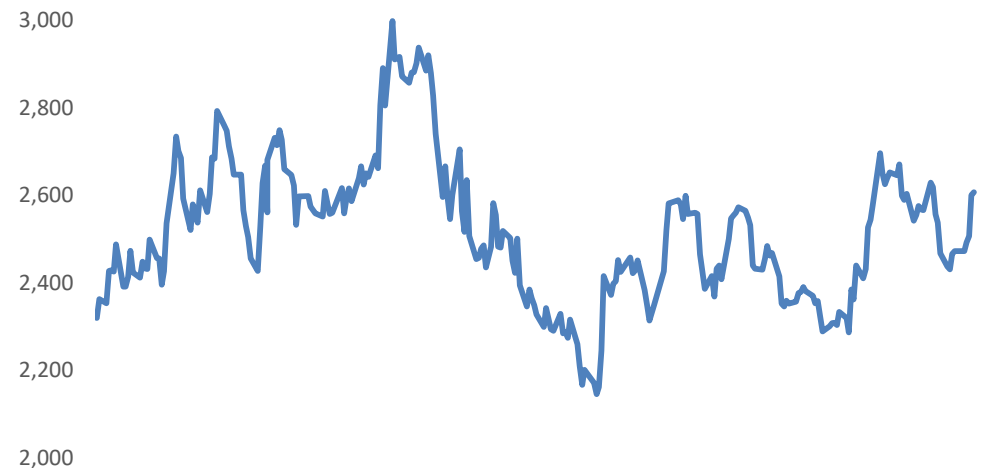
Key Products / Brands

Mankind Pharma's portfolio spans prescription and consumer healthcare. Flagship brands include Manforce (condoms), Prega News (pregnancy kits), Unwanted-72 (emergency contraceptives), Gas-O-Fast (digestives), Acnestar (dermatology), and Health OK (nutraceuticals). The company also has a strong presence in antibiotics, cardiovascular, gastro, and diabetes therapies.

Location wise Breakup



Share Price Performance



Global Economy

Overview

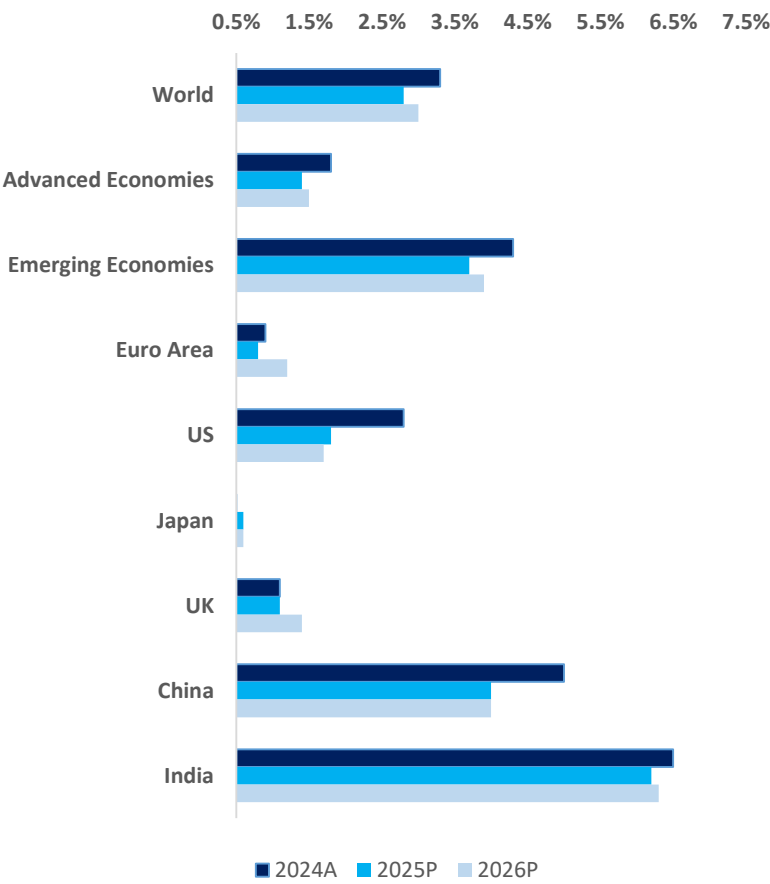
In 2024, the global economy expanded by 3.3%, sustaining growth despite ongoing geopolitical tensions. However, performance varied across regions, with the United States showing strong momentum while the Euro area experienced slower growth. Looking ahead, global growth is projected at 2.8% in 2025 and 3.0% in 2026, reflecting heightened trade tensions and elevated policy uncertainty. These projections remain below the historical average, driven by tighter global financial conditions, a stronger US dollar, and diverging economic outlooks—marked by potential upside in the US but downside risks for several other economies.

Global growth is projected at 3.0 % for CY25 and 3.1 % in CY26, an upward revision from the April’25 World Economic Outlook. This reflects front-loading ahead of tariffs, lower effective tariff rates, better financial conditions, and fiscal expansion in some major jurisdictions.

Global inflation is expected to fall, but US inflation is predicted to stay above target. Downside risks from potentially higher tariffs, elevated uncertainty, and geopolitical tensions persist.

Source : IMF WEO , Company Analysis

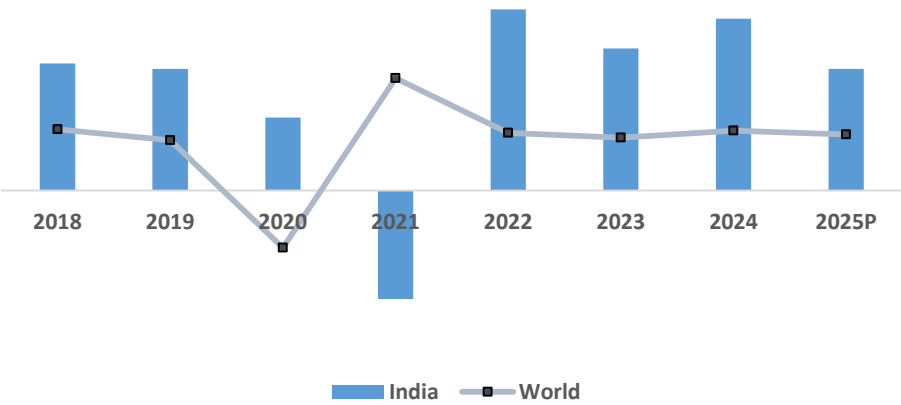
Global GDP Projections %



Source : IMF

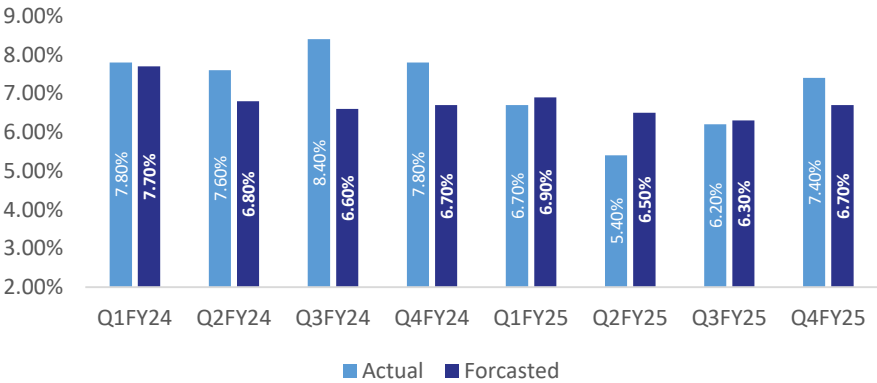
Indian Economy

India vs Global GDP Growth



Source : IMF , Tradingeconomics

Indian GDP Quarterly Growth - Actual vs Projected



Source : Investing

Overview

In the post-pandemic era, India has emerged as one of the most resilient and fastest-growing major economies, supported by robust domestic demand, structural reforms, and sustained policy measures. The economy is estimated to have grown by 6.5% in FY2025, moderating from 9.2% in CY24 but still outpacing most global peers.

The Reserve Bank of India's Monetary Policy Committee (MPC) maintained a neutral stance and lowered the repo rate by 25 bps to 6.0% in April'25, marking the second rate cut of the year. Inflationary pressures have eased, with CPI inflation projected at 4.7% for CY25 compared to 5.4% in CY24, while March'25 CPI stood at 3.3%—the lowest since Aug'19.

Looking ahead, the outlook for the Indian economy remains positive, though external challenges persist. Global trade continues to be weighed down by heightened policy uncertainty and tariff-related developments across several countries, posing risks to investment and trade flows worldwide.

Source : Company Analysis

Pharmaceutical Industry - India

Overview

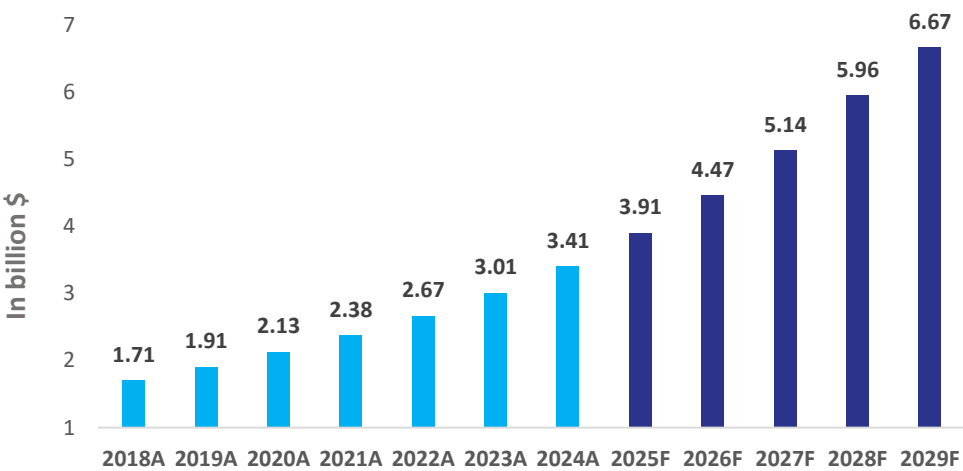
The Indian pharmaceutical industry, currently valued at around US\$50–58 billion, is one of the largest globally, with exports and the domestic market contributing almost equally. India has established itself as the world’s leading supplier of generic medicines, holding nearly a 20% global share by volume and exporting to over 200 countries and territories. As of 2023, India ranked as the third-largest producer of drugs and pharmaceuticals by volume and 14th by value, underscoring its cost competitiveness and scale.

The industry spans a broad range of segments, including generic medicines, over-the-counter (OTC) products, bulk drugs, vaccines, contract research and biologics. Exports have grown steadily, from US\$15 billion in FY2014 to US\$27.85 billion in FY2024. India also plays a critical role in vaccine supply, meeting 65–70% of the World Health Organization’s (WHO) vaccine requirements for DPT, BCG, and measles.

The sector has delivered consistent growth, with the Indian pharmaceutical market valued at US\$20 billion in 2019 and expanding at a CAGR of over 6% between 2020 and 2025. Looking ahead, the government has set ambitious targets—aiming to grow the industry to about US\$200 billion by 2030 and further to US\$450 billion by 2047. Alongside global shifts such as the “China Plus One” strategy, India’s scale, reliability, and growing focus on R&D are cementing its position as a cornerstone of the global pharmaceutical supply chain.

Source : Company Analysis

Domestic Revenue Growth



Pharmaceutical Industry - Global

Globally, the pharmaceutical sector is shifting focus toward affordability and wider access to generic medicines, driving greater medicine usage worldwide. Defined daily doses are projected to grow at a CAGR of 2.3%, reaching nearly 3,800 billion by 2028 from 3,400 billion in 2023. Overall, the global pharmaceutical market is expected to expand at a CAGR of 5–8% through 2028, including COVID-19-related spending, to reach an estimated size of USD 2,300 billion.

Source : Company Analysis

Mankind Pharma Ltd – Growth Story

Capacity Expansion

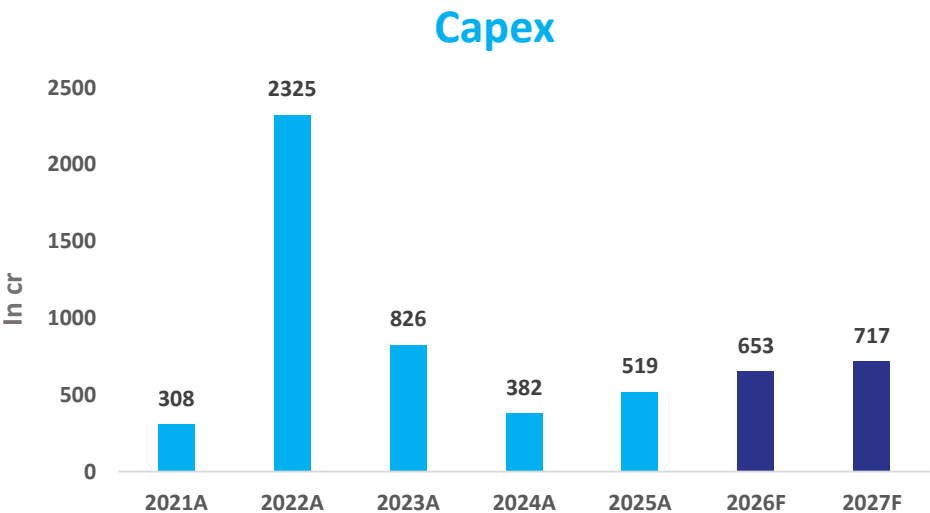
Mankind Pharma has maintained capex spend at 4–5% of revenue, with FY2025 investment at ₹531 cr. R&D continues to be a key focus, with ₹264 cr invested in FY2025 and plans to raise R&D allocation to 2.5–3% of revenue in FY2026, up from 2.1% in FY2025. Key initiatives include advancing GPR119 (obesity and diabetes) into Phase II trials and pursuing GLP-1 partnerships, supporting long-term margin expansion and domestic growth outperformance

Market Dominance

The Company has established a strong market dominance in India, driven by its wide product portfolio and deep consumer reach. Its flagship condom brand, Manforce , leads the category with over 30% market share, supported by affordable pricing, extensive distribution, and strong brand visibility. The brand’s widespread acceptance underscores Mankind’s ability to penetrate and dominate highly competitive consumer healthcare segments.

Operating Efficiency

The Company has built a reputation for robust operating efficiency, combining strong financials with consistent growth. The company sustains healthy EBITDA margins in the mid-20s, driven by optimized manufacturing, cost-effective marketing, and tight working capital management. Capex has been strategically maintained at 4–5% of revenue, while rising R&D investments signal a commitment to innovation without compromising profitability. This balance of efficiency and growth positions Mankind to sustain margin expansion and strengthen its leadership in the Indian pharmaceutical market.



Retail pharmacy and distribution network

In the pharmaceutical supply chain, pharmaceutical retailers and distributors are crucial in providing last-mile connectivity. For consumer healthcare products, expanding pharmaceutical retail and distribution network especially in the hinterlands have improved access to OTC products in these regions. Additionally, emergence of e-pharmacies coupled with rising penetration of internet has also provided push for these products to reach wider consumer base.

Financials

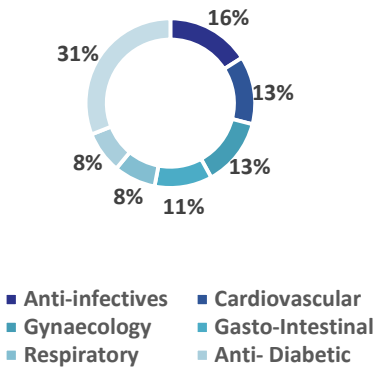
Revenue

The Company has posted a revenue of INR 12,207 CR in CY2025 . The Revenue has been grown at a CAGR of 16.2% and 15.8% during the last 3 and 5 years respectively . The management is extremely positive on overall growth on Indian Pharmaceutical market due to factors such as fast growth in diabetes, cardiac, respiratory, and women’s health. Company plans to increase R&D investments in FY26 to 2.5–3% of revenue . The Company has given guidance of 18%.

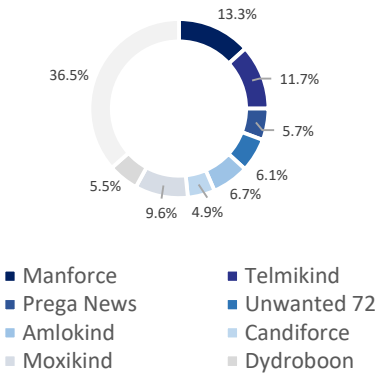
The Analyst's consensus growth for the CY26 is 14620 cr which is 20% growth over the CY25

Indian Pharmaceutical market is expected to grow between 8% to 11% in next few years which also depend on overall GDP of country. Considering the challenges company might face such as Digital shift & Health-Tech adoption , low income reduce medicine sales in rural areas . We assume a company would maintain a double digit growth of 20% due to increase in popularity and highly demanded products of women's health and sexual wellness brands which will be the main driver for company’s growth in next 2-5 years.

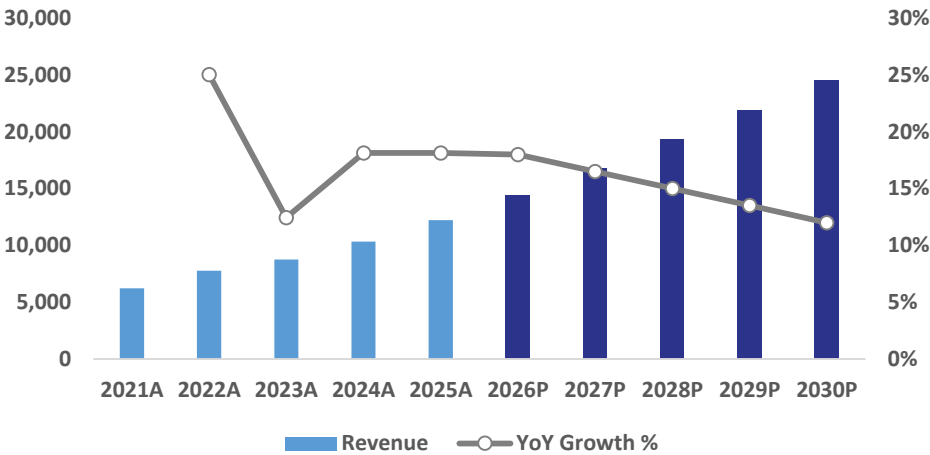
Product wise Breakup



Brand wise Breakup



Revenue Growth



Financials

Gross Margins

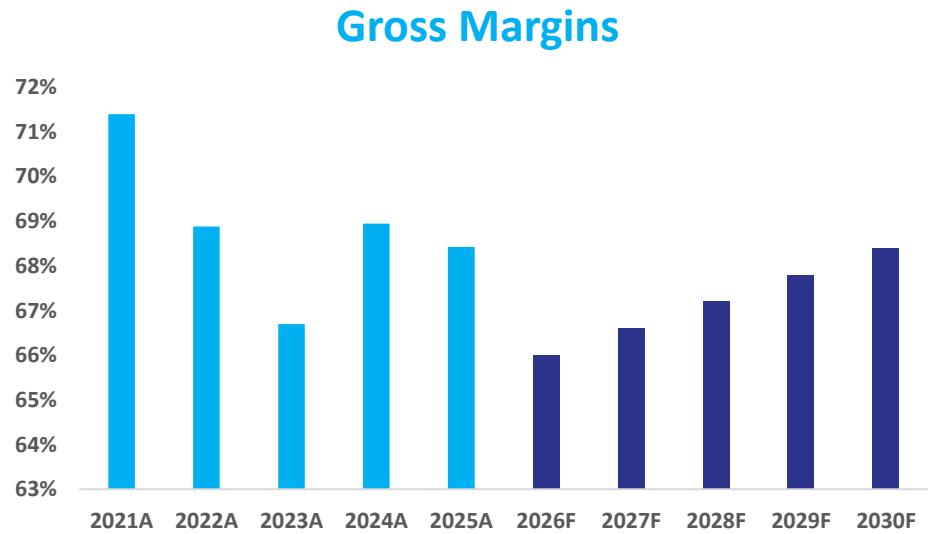
The Company has 32 state-of-the-art manufacturing and 6 R&D facilities with over 95% raw materials being locally procured , The prices of the Company’s raw materials generally fluctuate in line with commodity cycles . Pharma companies purchase certain raw materials from sources outside India. This reliance on foreign suppliers can expose them to currency exchange risks, further increasing the cost of production.

During the CY2025 , gross margins have increased by 260 basis points to 71.4% compared to 68.8% in FY '24. This is majorly on account of sales price increase effect , contributing 120 basis point, and the balance 140 basis point is the combination of better sales mix as chronic contribution has increased by 150 basis points on a year-on-year basis as well as certain operational efficiencies have also been achieved in manufacturing processes. - as explained by management

The Raw material consumed constitutes ~ 60%+ of the total Cost of Goods Sold and ~ 25%+ of the revenue . The major Cost of Raw material is APIs and Latex rubber which have faced inflationary during CY23.

Historically , the company has posted the Gross Margin ~ 65% to 71% with median of 68.4% in the last 7 years. Basis our research , the gross margin posted by Pharmaceutical sector in India was 54.88 % and by the sector in global emerging market was 46.99% , and global sector was 54.69%.

The reduction in margins during CY22 was majorly due to inflationary pressure , we assume that margin will retract to ~66 % in short term and converge to ~ 71% in long term.



Financials

SG&A Expense

During the CY25 , the company has reported EBITDA margin of 21.7% which is 280bps lower than CY24 (24.5%) . This reason for rise in the decline in EBITDA margin of 280 bps was primarily due to increase in selling and other expenses to launch certain brands of BSV. The management is determined to keep the operating expenses in check and gave EBITDA margin guidance of ~19 % - 20% .

Basis our research , we have identified that historically SG&A expenses is ~45% . Where four expenses viz Employee Benefit , Advertising expenses , Travelling and conveyance and other Operating expenses constitute 88.1% of total SG&A expenses . This four key expenses are directly linked with sales .

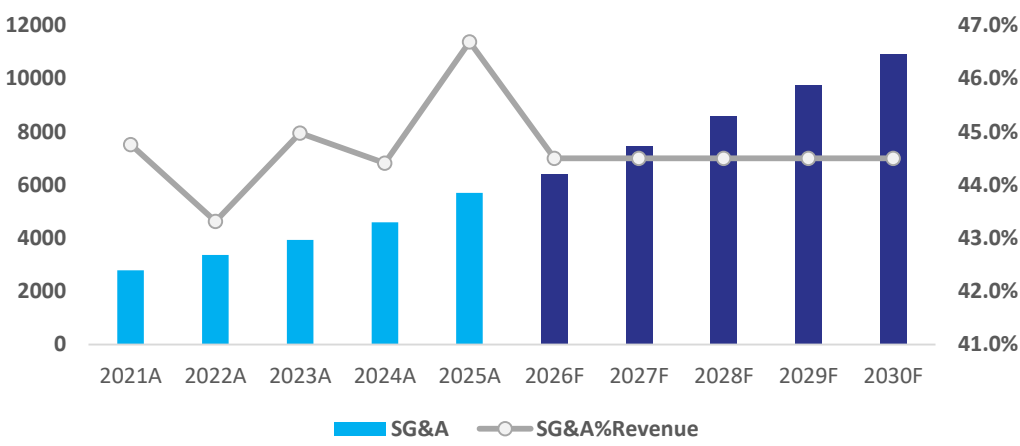
We assumed total SG&A expenses to remain at 45% level as percentage of revenues , which is almost aligned with street estimates and management consensus.

Inventory

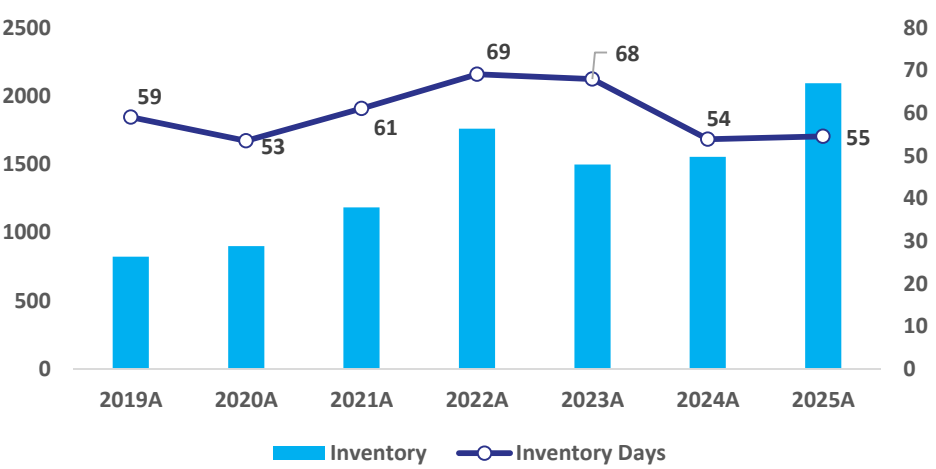
Historically the company is maintaining inventory levels ~17% of revenues with inventory turnover ratio being consistent around 2.1x Further street estimate suggests , the inventory levels remain to flat from existing inventory days.

We assume our inventory levels go up by 4 days from 55 days to 59 days in year 2026 & 2027

SG&A Expense



Inventory Days

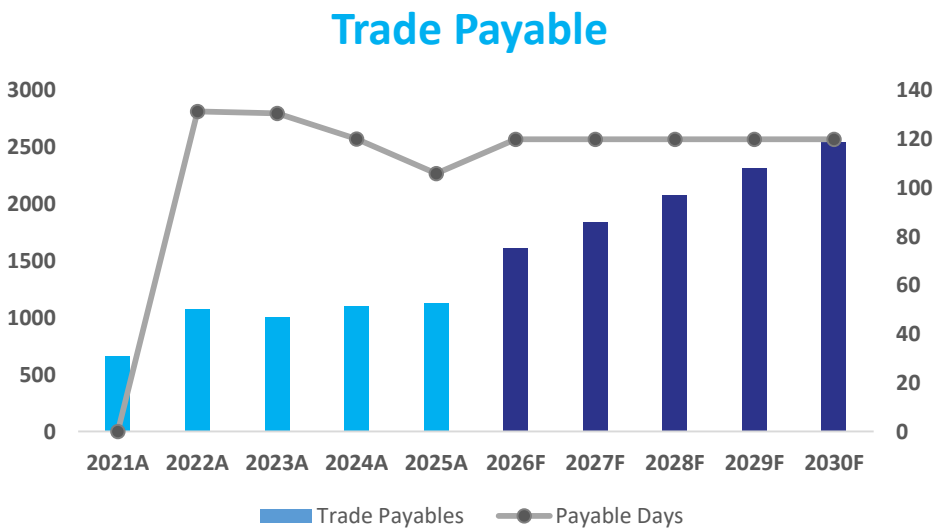


Financials

Trade Receivables

Trade receivables rose to ₹1,538 cr in FY2025 from ₹848 cr in FY2024, mainly because of strong sales growth and the consolidation of the BSV business during the year. Despite this increase, the company has historically kept receivables at around ~8% of revenues, with debtor days steady at nearly 30, reflecting consistent collection efficiency. Street estimates suggest that receivables will remain broadly stable at these levels going forward.

However, we assume some improvement in efficiency, with debtor days reducing by 5–6 days, from 30 to about 24 in FY2026 and FY2027, by helping free up cash flows and further strengthen the company’s working capital position while supporting overall growth.



Trade Payables

The company’s trade payable days have been volatile since the pandemic, though payables have consistently remained around ~10% of revenues.

In comparison, peers maintain much longer payable cycles of about 116 days, expected to remain near ~120 in the coming years. This reflects the company’s relatively conservative approach to settling dues, ensuring stability in supplier relationships while slightly limiting working capital flexibility.

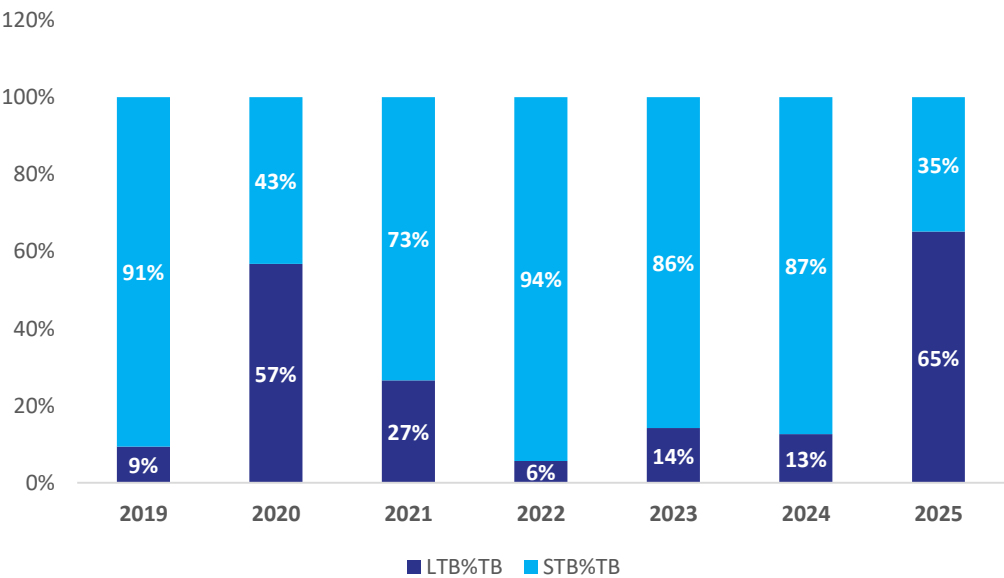
Borrowings

In the recent years , the company has drastically increased the long term debt from ~14% of the total debt in 2023 to ~65% of the total debt in 2025 with increase in Debt to Equity ratio from ~0.02x to ~0.6x , Debt to Capital ratio being from ~0.02x to ~0.4x , Debt to Asset ratio at ~0.02x to 0.3x and Debt to EBITDA ratio at ~0.1x to 3.2x in the respective years

The management is working on reducing the debt levels further in future , Also the company has increased the usage of Short term Debts to fund its cyclical operations due to which debt levels are usually high and the management has guided to pay off the acquisition related debt by FY'28 which was taken in FY'24-25 .

As per management guidance , of EBITDA to Debt ratio being ~1.2 for the CY25 & 26 . and assuming debt figures for the next few years to be depend upon it only. We assume long term growth to reduce to ~1.2x in upcoming years and stay at ~1.4x further, being on an average of ~12.6% of revenue.

Long Term and Short Term Borrowings



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Valuation

Objective

The objective is to reach at the intrinsic value of Mankind Pharma's stock. The analysis aims to assess the company's worth basis its ability to generate cash flows, future growth and risk associated with the business. We have carefully considered management's guidance with the business. We have carefully considered management's guidance while performing this analysis

Valuation Methodology

There are primarily three approaches in Valuation (viz., Cost Approach, Market Approach and Income Approach).

For any valuation, all the approaches may not be relevant and therefore will not give a fair estimate of value. Hence, the approach most suitable for specific business/company must be applied in the valuation exercise based on common practices.

The three approaches generally adopted in valuation are as under:

- Market Approach: Comparable Companies Method and Comparable Transaction Method.
- Income Approach: Discounted Cash Flow Method
- Assets Approach: Net Asset Value Method

Market Approach

Under this method, we assume the value of business of the company by applying the market multiples of listed companies which trade actively and possess attributes similar and comparable with target company. This methodology is based on the principle that such market pricing taking between informed buyers and informed sellers

while taking into account all the relevant factors. Not all multiples are applicable to every company. Therefore, the relevant multiples should be chosen carefully and adjusted for differences between the comparable. For the purpose of valuation of Mankind Pharma, we have chosen EBITDA multiple

Asset Approach

Under this approach, the value of business is derived basis difference between the value of assets and liabilities. This approach focuses on determine the value of net asset from the perspective of equity valuations. The value of net assets can be determined as follow;
$$\text{Net Asset} = \text{Total Assets} - \text{Total External Liabilities}.$$
The value of net asset also known as total equity.

Income Approach

Under this approach, the value of business is derived by considering free cash flow, future growth and we weighted average the cost of capital which signifies risk.

There are four major steps in income approach.

- Forecasting future cash flow for explicit growth period.
- Discounting these cash flow to present value at the rate of return depicts the risk in realizing the future cash flow expected growth.
- Calculation of terminal value of free cash flow post explicit growth period
- Addition of present value of terminal cash flow and free cash flows during explicit forecasting period.

In INR Crores unless stated otherwise

DCF Valuation

			Actual					Explicit Forecast Period				
			FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
In INR Crores unless stated otherwise												
Free Cash Flow to Firm												
EBITDA			1,658	1,989	1,901	2,535	2,652	3,097	3,709	4,381	5,103	5,863
Less: Depreciation & Amortization			(119)	(167)	(326)	(398)	(621)	(662)	(707)	(765)	(825)	(886)
EBIT			1,539	1,823	1,575	2,137	2,031	2,435	3,002	3,616	4,278	4,977
Less: Tax			(399)	(522)	(362)	(458)	(510)	(576)	(750)	(915)	(1,090)	(1,275)
EBIT (1-T)			1,140	1,301	1,213	1,679	1,521	1,859	2,251	2,701	3,189	3,703
Add: Depreciation & Amortization			119	167	326	398	621	662	707	765	825	886
Cash NOPAT			1,259	1,468	1,539	2,078	2,142	2,520	2,958	3,466	4,014	4,588
Less: Reinvestments												
Change in Working Capital			(94)	(586)	167	20	(146)	974	(468)	(376)	(513)	(528)
Capex During the Year			(308)	(2,325)	(826)	(382)	(519)	(653)	(717)	(931)	(964)	(973)
Free Cash Flow to Firm			857	(1,444)	880	1,716	1,477	2,841	1,773	2,158	2,537	3,088
Discount Period (Years)			Mid Year?	Yes				0.5	1.5	2.5	3.5	4.5
Discount Rate (WACC)			10%									
Present Value Factor								0.95	0.87	0.79	0.72	0.65
Present Value of Free Cash Flow to Firm								2,709	1,537	1,700	1,817	2,011

DCF Calculation - Perpetuity Growth		DCF Calculation - Exit Multiple		Market Value INR 1,05,569 Cr	Terminal Growth %	WACC							
Perpetual Growth Rate	4%	Exit Multiple	12.0x			3%	58,536	9%	10%	11%	12%	13%	14%
Terminal Year FCFF x (1+PGR)	5,046	Terminal Year EBITDA	5,863			4%	58401	48180	40552	34650	29956	26137	
Terminal Value	87,152	Terminal Value	70,357	5%		70339	56439	46553	39174	33463	28920		
Present Value of Terminal Value	56,756	Present Value of Terminal Value	45,818	6%		88246	68002	54554	44989	37848	32322		
Present Value of FCFFs	9,775	Present Value of FCFFs	9,775	7%		118091	85345	65756	52743	43486	36573		
Enterprise Value	66,531	Enterprise Value	55,593			177782	114252	82560	63599	51002	42039		
Implied Exit Multiple	11.3x	Implied Exit Multiple	9.5x	Intrinsic Value INR 58,536 Cr	Exit Multiple	WACC							
Implied EV/EBITDA	25.1x	Implied EV/EBITDA	21.0x			9%	47,598	10%	11%	12%	13%	14%	
Less: Debt	(8,483)	Less: Debt	(8,483)			11x	45758	43780	41896	40101	38390	36758	
Add: Cash	555	Add: Cash	555	12x		49737	47598	45562	43622	41773	40010		
Less: Minority Interest	(236)	Less: Minority Interest	(236)	13x		53715	51416	49228	47143	45156	43261		
Add: Non Operating Asset	361	Add: Non Operating Asset	361	14x		57693	55235	52894	50664	48538	46511		
Equity Value	58,727	Equity Value	47,789	WACC 10%		15x	61672	59053	56559	54184	51921	49763	
Less: Value of Options	(191)	Less: Value of Options	(191)		Terminal Growth 4%								
Equity Value for Shareholders	58,536	Equity Value for Shareholders	47,598										

Relative Valuation

Market Data						Financials									Multiples								
Relative Valuation	Ticker	Stock Price	Market Cap	Debt	EV	2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E
						Revenue	Revenue	Revenue	EBITDA	EBITDA	EBITDA	Net Profit	Net Profit	Net Profit	EV/Revenue	EV/Revenue	EV/Revenue	EV/EBITDA	EV/EBITDA	EV/EBITDA	PE	PE	PE
Mankind Pharma	NSE: MANKIND	2,481	1,02,398	8,483	1,10,355	12,207	14,404	16,781	2,652	3,097	3,709	1,616	1,729	2,251									
CIPLA	NSE: CIPLA	1,527	1,23,315	91	1,22,954	27,548	29,484	32,849	7,128	7,244	7,765	5,269	5,228	5,588	4.5x	4.2x	3.7x	17.2x	17.0x	15.8x	23.4x	23.6x	22.1x
Zydus Lifesciences	NSE: ZYDUSLIFE	942	94,802	3,169	95,059	23,241	25,910	28,228	6,895	6,860	6,641	4,673	4,482	4,247	4.1x	3.7x	3.4x	13.8x	13.9x	14.3x	20.3x	21.2x	22.3x
Torrent	NSE: TORNTPHARM	3,622	1,22,573	3,025	1,25,196	11,516	14,085	18,861	3,721	4,677	6,143	1,911	2,383	2,797	10.9x	8.9x	6.6x	33.6x	26.8x	20.4x	64.1x	51.4x	43.8x
High															10.9x	8.9x	6.6x	33.6x	26.8x	20.4x	64.1x	51.4x	43.8x
75th Percentile															7.7x	6.5x	5.2x	25.4x	21.9x	18.1x	43.8x	37.5x	33.1x
Average															6.5x	5.6x	4.6x	21.6x	19.2x	16.8x	35.9x	32.1x	29.4x
Median															4.5x	4.2x	3.7x	17.2x	17.0x	15.8x	23.4x	23.6x	22.3x
25th Percentile															4.3x	3.9x	3.6x	15.5x	15.4x	15.1x	21.8x	22.4x	22.2x
Low															4.1x	3.7x	3.4x	13.8x	13.9x	14.3x	20.3x	21.2x	22.1x

Relative Valuation

Revenue	12,207
EBITDA	2,652
Earnings	1,616
Valuation Multiple	EV/EBITDA
EV/EBITDA	17.2x
Enterprise Value	45,743
Less: Debt	(8,483)
Add: Cash	555
Less: Minority Interest	(236)
Add: Non Operating Asset	361
Equity Value	37,939
Less: Value of Options	(191)
Equity Value for Shareholders	37,748

Relative Valuation

Revenue	12,207
EBITDA	2,652
Earnings	1,616
Valuation Multiple	EV/Revenue
EV/Revenue	4.5x
Enterprise Value	54,483
Less: Debt	(8,483)
Add: Cash	555
Less: Minority Interest	(236)
Add: Non Operating Asset	361
Equity Value	46,679
Less: Value of Options	(191)
Equity Value for Shareholders	46,488

Relative Valuation

Revenue	12,207
EBITDA	2,652
Earnings	1,616
Valuation Multiple	P/E
P/E	23.4x
Equity Value	37,827
Less: Debt	(8,483)
Add: Cash	555
Less: Minority Interest	(236)
Add: Non Operating Asset	361
Equity Value	30,023
Less: Value of Options	-
Equity Value for Shareholders	30,023

Comparable Company Description

Comparable Company	Description
CIPLA	Cipla, headquartered in Mumbai, is a leading Indian multinational pharmaceutical company with operations in 86+ countries. Its core lies in branded generics across therapies like respiratory, cardiovascular, diabetes, anti-infectives, and oncology. As the world’s largest supplier of HIV/AIDS antiretrovirals, Cipla also has a growing consumer health portfolio (Cofsils, Nicotex). With 47 global plants and strong R&D, it focuses on affordable medicines and expansion in domestic, emerging, and regulated markets.
Zydus Lifescience	Zydus Lifescience, headquartered in Ahmedabad, is an integrated pharmaceutical company spanning generics, branded formulations, consumer wellness, vaccines, biologics, and animal health. Its portfolio covers therapies like cardiovascular, diabetes, respiratory, dermatology, oncology, and gastroenterology. Consumer wellness includes brands such as Sugar Free, Complian, and Everyuth. With a strong India base and exports to key global markets, Zydus also invests in novel drug discovery and biologics, ensuring a diversified, brand-led business model.
Torrent Pharma	Torrent Pharmaceuticals, part of the Torrent Group and based in Ahmedabad, is a leading branded generics company with strong domestic presence. Its portfolio spans cardiovascular, CNS, gastrointestinal, diabetology, respiratory, and niche therapies like oncology and nephrology. Operating in 40+ countries with 2,000+ registered products, Torrent’s brand-led model emphasizes specialty-focused marketing and strong physician relationships. While exports contribute, its India-centric revenue mix makes it closely comparable to Mankind Pharma.

Weighted Average Cost of Capital

WACC Inputs

Country	India
Local Currency 10Y Government Bond Yield	6.37%
India's Moodys Sovereign Rating	Baa3
Credit default spread as per Dr Damodaran	2.16%
Implied US Equity Risk Premium	3.84%
Asset Beta	0.54
Asset Beta Variation (+/-)	0.05
Debt to Equity Ratio	0.59

Particulars	Low	Mid	High
Risk Free Rate	4.21%	4.21%	4.21%
Equity Risk Premium	6.00%	6.00%	6.00%
Asset Beta	0.49	0.54	0.59
D/E Ratio	0.6x	0.6x	0.6x
Equity Beta	0.71	0.78	0.85
CAPM Cost of Equity	8.4%	8.9%	9.3%
Small Size Premium	2.90%	2.90%	2.90%
Asset Specific Premium	0.00%	0.00%	0.00%
Modified Cost of Equity	11.3%	11.8%	12.2%
Pre Tax Cost of Debt	7.22%	7.22%	7.22%
Marginal Tax Rate	25%	25%	25%
Post Tax Cost of Debt	5.4%	5.4%	5.4%
Capital Gearing (D/D+E)	36.8%	36.8%	36.8%
Weighted Average Cost of Capital	9.16%	9.44%	9.71%
Weighted Average Cost of Capital (Rounded)	10.00%	10.00%	10.00%

1. Tax rate considered as Marginal Tax Rate of India
2. Asset Beta is considered as median of 5 years beta of comps adjusted for blume affect
3. Equity Beta = Asset Beta * (1 + (1 - Tax Rate%) * Debt/Equity)

Debt to Capital (Gearing)	36.8%
Marginal Tax Rate	25.0%
Company Credit Rating Available ?	No
Company is Large Firm or Small Firm ?	Large
Provide Credit Rating	A1/A+
Interest Coverage Ratio	4.7
ICR based Corporate Default Spread	0.9%
Small Size Premium	5.6%
Asset Specific Risk Premium	0.0%

Risk Free Rate

We have considered 4.21% as the risk free rate in the estimation of cost of equity of 8.88%. The risk free rate of India is calculated by considering local currency 10 Year Government Bond Yield adjusted for default spread of India.

Asset Beta

We have estimated an Asset Beta Range of 0.49 to 0.59, with a mid point of 0.54 based on observed median 2 Year weekly asset beta of benchmarked listed companies adjusted for blume effect.

Equity Risk Premium

An ERP of 6.00% has been adopted based on US Implied ERP, relative equity volatility of ICE BoFA Public Sector Issues Emerging Markets Index, S&P Emerging BMI Index and country risk premium of India.

Cost of Debt

For the purpose of assessing cost of Debt, we have used country's Risk Free Rate, country's default spread and corporate default spread on company's debt rating and interest coverage ratio.

Small Size Premium

Empirically small size assets have exceeded the returns as compared to large size assets we have used the study used by incwert which is based on difference between actual returns and CAMP expected returns arranged in decile basis market capitalization on Indian Companies

Beta Analysis

Beta Analysis - 2 Years Weekly

Comparable Company	Ticker	No. of Weekly Observations	Market Cap	Asset Beta	2 Years Avg D/E	Equity Beta	2 Years Avg D/D+E
Sun Pharmaceutical Industries Ltd	NSE: SUNPHARMA	104	3,80,750	0.45	0.03	0.46	0.03
Torrent Pharmaceuticals Ltd	NSE: TORNTPHARM	104	1,20,928	0.42	0.49	0.58	0.32
Cipla Ltd	NSE: CIPLA	104	1,20,016	1.22	0.01	1.23	0.01
Dr. Reddy's Laboratories Ltd	NSE: DRREDDY	104	10,101	0.33	0.91	0.56	0.46
Median - Broad Set				0.45	0.09	0.58	0.08
Average - Broad Set				0.62	0.30	0.71	0.18

Beta Analysis - 5 Years Monthly

Comparable Company	Ticker	No. of Monthly Observations	Market Cap	Asset Beta	5 Years Avg D/E	Equity Beta	5 Years Avg D/D+E
Sun Pharmaceutical Industries Ltd	NSE: SUNPHARMA	60	3,80,750	0.54	0.05	0.56	0.05
Torrent Pharmaceuticals Ltd	NSE: TORNTPHARM	60	1,20,928	0.22	0.63	0.33	0.38
Cipla Ltd	NSE: CIPLA	60	1,20,016	0.40	0.04	0.41	0.03
Dr. Reddy's Laboratories Ltd	NSE: DRREDDY	60	10,101	0.62	0.44	0.82	0.25
Median - Broad Set				0.54	0.14	0.56	0.12
Average - Broad Set				0.49	0.26	0.58	0.17

Blume Beta Analysis - 5 Years Monthly

Comparable Company	Ticker	No. of Monthly Observations	Market Cap	Asset Beta	5 Years Avg D/E	Equity Beta	5 Years Avg D/D+E
Sun Pharmaceutical Industries Ltd	NSE: SUNPHARMA	60	3,80,750	0.54	0.05	0.56	0.05
Torrent Pharmaceuticals Ltd	NSE: TORNTPHARM	60	1,20,928	0.22	0.63	0.33	0.38
Cipla Ltd	NSE: CIPLA	60	1,20,016	0.40	0.04	0.41	0.03
Dr. Reddy's Laboratories Ltd	NSE: DRREDDY	60	10,101	0.62	0.44	0.82	0.25
Median - Broad Set				0.47	0.24	0.49	0.15
Average - Broad Set				0.45	0.29	0.53	0.18

We are taking Asset Beta 0.54

Valuation Summary

Valuation Summary	Enterprise Value	Equity Value available for shareholders	Value per share	Market Price	Discount/Premium	Discount/Premium%
Discounted Cash Flow - Perpetuity Growth	66,531	58,536	1,417	2,530	1,113	44%
Discounted Cash Flow - Exit Multiple	55,593	47,598	1,153	2,530	1,377	54%
Relative Valuation - EV/Sales	45,743	37,748	914	2,530	1,616	64%
Relative Valuation - EV/EBITDA	45,743	37,748	914	2,530	1,616	64%

Analysis

According to the DCF Valuation, the share is trading at a premium of INR 1,113 (44%) under the perpetuity growth method and INR 1,377 (54%) under the Exit Multiple Method. Similarly, under Relative Valuation, the share is trading at a premium of INR 1,616 (64%) using both the EV/Sales and EV/EBITDA methods . Overall, across all valuation approaches, the intrinsic value is significantly below the market price of ₹2,530, suggesting that the stock is currently overvalued.

Analysis considering DCF valuation for Perpetual Growth

According to DCF Valuation, the share is trading at a premium of INR 1,113, suggesting overvaluation. This reflects investor optimism toward Mankind Pharma’s strong domestic positioning, brand recognition, and wide therapeutic presence across cardiology, diabetes, gastroenterology, and dermatology.

The company’s expansion into consumer healthcare through popular OTC brands such as Manforce and Prega News has enhanced visibility, diversified revenues, and improved pricing power, supporting a higher market valuation relative to intrinsic estimates.

Mankind’s consistent revenue growth, strong profitability, and robust balance sheet with low leverage contribute to investor confidence. These factors lower perceived risk and justify higher multiples, explaining why the stock trades at a premium in the market.

3 Statement Model – Income Statement

Mankind Pharma Ltd.

	Actual					Explicit Forecast Period					CAGR	
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	5 Years	3 Years
In INR Crores unless stated otherwise												
Income Statement												
Revenue	6,224	7,782	8,749	10,335	12,207	14,404	16,781	19,298	21,903	24,532	15.0%	13.5%
Less: Cost of Goods Sold	(₹ 1,781)	(₹ 2,422)	(₹ 2,914)	(₹ 3,210)	(₹ 3,855)	(₹ 4,897)	(₹ 5,605)	(₹ 6,330)	(₹ 7,053)	(₹ 7,752)	15.0%	11.4%
Gross Profit	₹ 4,443	₹ 5,360	₹ 5,836	₹ 7,125	₹ 8,352	₹ 9,507	₹ 11,176	₹ 12,968	₹ 14,850	₹ 16,780	15.0%	14.5%
Gross Margin	71.4%	68.9%	66.7%	68.9%	68.4%	66.0%	66.6%	67.2%	67.8%	68.4%		
Less: SG&A Expenses (Excluding Depreciation & Interest)	₹ 2,786	₹ 3,370	₹ 3,935	₹ 4,590	₹ 5,700	₹ 6,410	₹ 7,468	₹ 8,588	₹ 9,747	₹ 10,917		
EBITDA	₹ 1,658	₹ 1,989	₹ 1,901	₹ 2,535	₹ 2,652	₹ 3,097	₹ 3,709	₹ 4,381	₹ 5,103	₹ 5,863	17.2%	16.5%
EBITDA Margin	26.6%	25.6%	21.7%	24.5%	21.7%	21.5%	22.1%	22.7%	23.3%	23.9%		
Less: Depreciation	₹ 119	₹ 167	₹ 326	₹ 398	₹ 621	₹ 662	₹ 707	₹ 765	₹ 825	₹ 886	7.4%	7.8%
EBIT	₹ 1,539	₹ 1,823	₹ 1,575	₹ 2,137	₹ 2,031	₹ 2,435	₹ 3,002	₹ 3,616	₹ 4,278	₹ 4,977	19.6%	18.4%
EBIT Margin	24.7%	23.4%	18.0%	20.7%	16.6%	16.9%	17.9%	18.7%	19.5%	20.3%		
Less: Interest	(₹ 20)	(₹ 59)	(₹ 44)	(₹ 34)	(₹ 429)	(₹ 561)	(₹ 503)	(₹ 535)	(₹ 577)	(₹ 615)		
Add: Other Income	₹ 161	₹ 196	₹ 129	₹ 281	₹ 537	₹ 432	₹ 503	₹ 579	₹ 657	₹ 736		
Less: Share of net profit of associates and joint ventures	(₹ 12)	(₹ 14)	(₹ 12)	(₹ 15)	(₹ 12)	-	-	-	-	-		
EBT	₹ 1,668	₹ 1,946	₹ 1,646	₹ 2,369	₹ 2,126	₹ 2,306	₹ 3,002	₹ 3,660	₹ 4,359	₹ 5,098		
Less: Taxes	(₹ 399)	(₹ 522)	(₹ 362)	(₹ 458)	(₹ 510)	(₹ 576)	(₹ 750)	(₹ 915)	(₹ 1,090)	(₹ 1,275)	20.1%	19.3%
Net Income	₹ 1,270	₹ 1,424	₹ 1,285	₹ 1,911	₹ 1,616	₹ 1,729	₹ 2,251	₹ 2,745	₹ 3,269	₹ 3,824	18.8%	19.3%
Sales Growth %	0.0%	25.0%	12.4%	18.1%	18.1%	18.0%	16.5%	15.0%	13.5%	12.0%	-7.9%	-10.1%
Gross Profit Margins %	71.4%	68.9%	66.7%	68.9%	68.4%	66.0%	66.6%	67.2%	67.8%	68.4%	0.0%	0.9%
EBITDA Margins %	26.6%	25.6%	21.7%	24.5%	21.7%	21.5%	22.1%	22.7%	23.3%	23.9%	1.9%	2.6%
EBIT Margins %	24.7%	23.4%	18.0%	20.7%	16.6%	16.9%	17.9%	18.7%	19.5%	20.3%	4.0%	4.3%
Actual Tax Rate %	-23.9%	-26.8%	-22.0%	-19.3%	-24.0%	-25.0%	-25.0%	-25.0%	-25.0%	-25.0%	0.8%	0.0%
Net Income Margin %	20.4%	18.3%	14.7%	18.5%	13.2%	12.0%	13.4%	14.2%	14.9%	15.6%	3.3%	5.1%

Balance Sheet

FY2021FY2022FY2023FY2024FY2025FY2026FY2027FY2028FY2029FY2030

Assets

Non Current Assets										
Property , Plants & Equipments	₹ 1,620	₹ 1,652	₹ 2,409	₹ 2,813	₹ 2,741	₹ 3,217	₹ 3,712	₹ 4,364	₹ 4,987	₹ 5,559
Right of Use Assets	-	₹ 67	₹ 114	₹ 119	₹ 167	₹ 159	₹ 151	₹ 142	₹ 134	₹ 126
Capital Work in Progress	₹ 372	₹ 670	₹ 493	₹ 207	₹ 306	-	-	-	-	-
Goodwill	₹ 20	₹ 20	₹ 20	₹ 20	₹ 6,492	₹ 6,492	₹ 6,492	₹ 6,492	₹ 6,492	₹ 6,492
Other Intangible Asset	₹ 18	₹ 1,843	₹ 1,701	₹ 1,588	₹ 9,605	₹ 9,128	₹ 8,651	₹ 8,175	₹ 7,698	₹ 7,221
Non Current Financial Assets	₹ 68	₹ 96	₹ 205	₹ 155	₹ 361	₹ 361	₹ 361	₹ 361	₹ 361	₹ 361
Other Non Current Assets	₹ 97	₹ 74	₹ 73	₹ 66	₹ 92	₹ 92	₹ 92	₹ 92	₹ 92	₹ 92
Deffered Tax Assets	₹ 49	₹ 39	₹ 30	₹ 80	₹ 108	₹ 108	₹ 108	₹ 108	₹ 108	₹ 108
Income Tax Assets	₹ 56	₹ 80	₹ 103	₹ 82	₹ 189	₹ 189	₹ 189	₹ 189	₹ 189	₹ 189
Intangible Assets Under Development	₹ 0	₹ 32	₹ 57	₹ 75	₹ 520	₹ 520	₹ 520	₹ 520	₹ 520	₹ 520
Investments in associates	₹ 166	₹ 168	₹ 181	₹ 189	₹ 191	₹ 191	₹ 191	₹ 191	₹ 191	₹ 191
Total Non Current Assets	₹ 2,466	₹ 4,741	₹ 5,388	₹ 5,395	₹ 20,771	₹ 20,456	₹ 20,467	₹ 20,633	₹ 20,772	₹ 20,859

Current Assets										
Cash	₹ 167	₹ 303	₹ 305	₹ 382	₹ 407	₹ 1,161	₹ 3,014	₹ 5,297	₹ 8,250	₹ 11,410
Bank balance	₹ 534	₹ 103	₹ 148	₹ 816	₹ 147	₹ 147	₹ 147	₹ 147	₹ 147	₹ 147
Inventory	₹ 1,184	₹ 1,760	₹ 1,498	₹ 1,553	₹ 2,094	₹ 2,312	₹ 2,693	₹ 2,908	₹ 3,301	₹ 3,697
Receivable	₹ 331	₹ 388	₹ 576	₹ 848	₹ 1,538	₹ 940	₹ 1,095	₹ 1,322	₹ 1,500	₹ 1,680
Investments	₹ 1,306	₹ 874	₹ 1,075	₹ 2,258	₹ 1,691	₹ 1,995	₹ 2,324	₹ 2,673	₹ 3,034	₹ 3,398
Other Current Assets	₹ 386	₹ 978	₹ 724	₹ 710	₹ 1,111	₹ 994	₹ 1,158	₹ 1,332	₹ 1,511	₹ 1,693
Total Current Assets	₹ 3,907	₹ 4,407	₹ 4,328	₹ 6,568	₹ 6,988	₹ 7,549	₹ 10,432	₹ 13,679	₹ 17,743	₹ 22,024

Total Assets	₹ 6,373	₹ 9,148	₹ 9,715	₹ 11,963	₹ 27,760	₹ 28,005	₹ 30,898	₹ 34,312	₹ 38,515	₹ 42,883
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Equity										
Share Capital	₹ 40	₹ 40	₹ 40	₹ 40	₹ 41	₹ 41	₹ 41	₹ 41	₹ 41	₹ 41
Other Equity	₹ 4,682	₹ 6,115	₹ 7,396	₹ 9,323	₹ 14,291	₹ 16,020	₹ 18,272	₹ 21,017	₹ 24,286	₹ 28,110
Total Shareholder's Equity	₹ 4,722	₹ 6,155	₹ 7,436	₹ 9,363	₹ 14,332	₹ 16,062	₹ 18,313	₹ 21,058	₹ 24,327	₹ 28,151
Non Controlling Interest	₹ 141	₹ 161	₹ 188	₹ 213	₹ 236	₹ 236	₹ 236	₹ 236	₹ 236	₹ 236
Total Equity	₹ 4,863	₹ 6,316	₹ 7,624	₹ 9,576	₹ 14,568	₹ 16,298	₹ 18,549	₹ 21,294	₹ 24,563	₹ 28,387

Non-Current Liabilities										
Long Term Borrowing	₹ 57	₹ 49	₹ 23	₹ 25	₹ 5,526	₹ 5,802	₹ 6,093	₹ 6,397	₹ 6,525	₹ 6,656
Lease Liabilities	₹ 6	₹ 3	₹ 5	₹ 8	₹ 14	₹ 14	₹ 14	₹ 14	₹ 14	₹ 14
Provisions	₹ 72	₹ 80	₹ 98	₹ 123	₹ 155	₹ 155	₹ 155	₹ 155	₹ 155	₹ 155
Deferred tax liabilities (net)	₹ 13	₹ 56	₹ 77	₹ 89	₹ 1,813	₹ 1,813	₹ 1,813	₹ 1,813	₹ 1,813	₹ 1,813
Other non-current liabilities	₹ 8	₹ 20	₹ 25	₹ 23	₹ 20	₹ 20	₹ 20	₹ 20	₹ 20	₹ 20
Total non-current liabilities	₹ 156	₹ 208	₹ 229	₹ 268	₹ 7,528	₹ 7,804	₹ 8,094	₹ 8,399	₹ 8,527	₹ 8,657

Current Liabilities										
Trade Payables	₹ 667	₹ 1,076	₹ 1,008	₹ 1,103	₹ 1,133	₹ 1,610	₹ 1,843	₹ 2,081	₹ 2,319	₹ 2,549
Short Term Borrowing	₹ 159	₹ 819	₹ 139	₹ 171	₹ 2,957	₹ 720	₹ 839	₹ 965	₹ 1,533	₹ 1,717
Lease Liabilities	-	₹ 2	₹ 3	₹ 3	₹ 14	₹ 14	₹ 14	₹ 14	₹ 14	₹ 14
Other financial liabilities	₹ 184	₹ 221	₹ 236	₹ 236	₹ 674	₹ 674	₹ 674	₹ 674	₹ 674	₹ 674
Provisions	₹ 234	₹ 265	₹ 308	₹ 389	₹ 664	₹ 664	₹ 664	₹ 664	₹ 664	₹ 664
Current tax liabilities (net)	₹ 11	₹ 15	₹ 46	₹ 46	₹ 18	₹ 18	₹ 18	₹ 18	₹ 18	₹ 18
Other current liabilities	₹ 99	₹ 225	₹ 123	₹ 171	₹ 203	₹ 203	₹ 203	₹ 203	₹ 203	₹ 203
Total Current liabilities	₹ 1,354	₹ 2,624	₹ 1,863	₹ 2,120	₹ 5,664	₹ 3,904	₹ 4,255	₹ 4,619	₹ 5,425	₹ 5,839

Total Equity & Liabilities	₹ 6,373	₹ 9,148	₹ 9,715	₹ 11,963	₹ 27,760	₹ 28,005	₹ 30,898	₹ 34,312	₹ 38,515	₹ 42,883
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Cash Flows	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
Profit Before Tax	₹ 1,668	₹ 1,946	₹ 1,646	₹ 2,369	₹ 2,516	₹ 2,306	₹ 3,002	₹ 3,660	₹ 4,359	₹ 5,098
Add: Depreciation	₹ 119	₹ 167	₹ 326	₹ 398	₹ 621	₹ 662	₹ 707	₹ 765	₹ 825	₹ 886
Add: Interest Expense	₹ 4	₹ 11	₹ 4	₹ 8	₹ 25	₹ 561	₹ 503	₹ 535	₹ 577	₹ 615
Add: Other Items	(₹ 106)	(₹ 118)	(₹ 8)	(₹ 164)	(₹ 37)	-	-	-	-	-
Less: Change in Working Capital	(₹ 94)	(₹ 586)	₹ 167	₹ 20	(₹ 146)	₹ 974	(₹ 468)	(₹ 376)	(₹ 513)	(₹ 528)
Less: Tax Paid	(₹ 454)	(₹ 500)	(₹ 323)	(₹ 480)	(₹ 567)	(₹ 576)	(₹ 750)	(₹ 915)	(₹ 1,090)	(₹ 1,275)
Net Cash Flow from Operations	₹ 1,137	₹ 919	₹ 1,813	₹ 2,152	₹ 2,413	₹ 3,926	₹ 2,994	₹ 3,668	₹ 4,158	₹ 4,797
Net Purchased of Fixed Assets	(₹ 308)	(₹ 2,325)	(₹ 826)	(₹ 382)	(₹ 519)	(₹ 653)	(₹ 717)	(₹ 931)	(₹ 964)	(₹ 973)
Additional CWIP						₹ 306	-	-	-	-
Net Purchased of Investment	(₹ 953)	₹ 943	(₹ 240)	(₹ 1,739)	(₹ 12,235)	(₹ 304)	(₹ 329)	(₹ 349)	(₹ 361)	(₹ 364)
Interest Received	₹ 38	₹ 13	₹ 13	₹ 40	₹ 68	-	-	-	-	-
Net Cash Flow from Investing	(₹ 1,222)	(₹ 1,369)	(₹ 1,054)	(₹ 2,080)	(₹ 12,686)	(₹ 651)	(₹ 1,046)	(₹ 1,280)	(₹ 1,325)	(₹ 1,337)
Finance Costs	(₹ 17)	(₹ 17)	(₹ 41)	(₹ 25)	(₹ 97)	-	-	-	-	-
Net Proceeds from Long Term Borrowings	₹ 1	(₹ 3)	(₹ 26)	(₹ 1)	₹ 5,296	₹ 276	₹ 290	₹ 305	₹ 128	₹ 131
Net Proceeds from Short Term Borrowings	₹ 109	₹ 627	(₹ 669)	₹ 35	₹ 2,065	(₹ 2,237)	₹ 119	₹ 126	₹ 568	₹ 184
Interest Expense						(₹ 561)	(₹ 503)	(₹ 535)	(₹ 577)	(₹ 615)
Others	(₹ 61)	(₹ 25)	(₹ 22)	(₹ 4)	₹ 2,975	-	-	-	-	-
Net Cash Flow from Financing	₹ 32	₹ 582	(₹ 759)	₹ 4	₹ 10,240	(₹ 2,522)	(₹ 94)	(₹ 104)	₹ 119	(₹ 300)
Cash at the Beginning of the Year	₹ 220	₹ 167	₹ 302	₹ 305	₹ 382	₹ 407	₹ 1,161	₹ 3,014	₹ 5,297	₹ 8,250
Net Change in Cash	(₹ 53)	₹ 132	₹ 0	₹ 76	(₹ 34)	₹ 753	₹ 1,853	₹ 2,284	₹ 2,952	₹ 3,160
Net Foreign exchange difference	-	4	2	1	(8)	-	-	-	-	-
Add: Pursuant to acquisition/ disposal of control in subsidiaries	-	-	-	-	67	-	-	-	-	-
Closing Cash Balance	₹ 167	₹ 302	₹ 305	₹ 382	₹ 407	₹ 1,161	₹ 3,014	₹ 5,297	₹ 8,250	₹ 11,410

Common Size Statement

	Actual					Explicit Forecast Period				
Income Statement	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Less: Cost of Goods Sold	28.6%	31.1%	33.3%	31.1%	31.6%	34.0%	33.4%	32.8%	32.2%	31.6%
Gross Profit	71.4%	68.9%	66.7%	68.9%	68.4%	66.0%	66.6%	67.2%	67.8%	68.4%
Gross Margin	71.4%	68.9%	66.7%	68.9%	68.4%	66.0%	66.6%	67.2%	67.8%	68.4%
Less: SG&A Expenses (Excluding Depreciation & Interest)	44.8%	43.3%	45.0%	44.4%	46.7%	44.5%	44.5%	44.5%	44.5%	44.5%
EBITDA	26.6%	25.6%	21.7%	24.5%	21.7%	21.5%	22.1%	22.7%	23.3%	23.9%
EBITDA Margin	26.6%	25.6%	21.7%	24.5%	21.7%	21.5%	22.1%	22.7%	23.3%	23.9%
Less: Depreciation	1.9%	2.1%	3.7%	3.9%	5.1%	4.6%	4.2%	4.0%	3.8%	3.6%
EBIT	24.7%	23.4%	18.0%	20.7%	16.6%	16.9%	17.9%	18.7%	19.5%	20.3%
EBIT Margin	24.7%	23.4%	18.0%	20.7%	16.6%	16.9%	17.9%	18.7%	19.5%	20.3%
Less: Interest	-0.3%	-0.8%	-0.5%	-0.3%	-3.5%	-3.9%	-3.0%	-2.8%	-2.6%	-2.5%
Add: Other Income	2.6%	2.5%	1.5%	2.7%	4.4%	3.0%	3.0%	3.0%	3.0%	3.0%
Less: Share of net profit of associates and joint ventures	-0.2%	-0.2%	-0.1%	-0.1%	-0.1%	0.0%	0.0%	0.0%	0.0%	0.0%
EBT	26.8%	25.0%	18.8%	22.9%	17.4%	16.0%	17.9%	19.0%	19.9%	20.8%
Less: Taxes	-6.4%	-6.7%	-4.1%	-4.4%	-4.2%	-4.0%	-4.5%	-4.7%	-5.0%	-5.2%
Net Income	20.4%	18.3%	14.7%	18.5%	13.2%	12.0%	13.4%	14.2%	14.9%	15.6%

Common Size Statement

[illegible]

Ratio Analysis

Liquidity Ratios	Actual					Explicit Forecast Period				
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
Current Assets	₹ 3,907	₹ 4,407	₹ 4,328	₹ 6,568	₹ 6,988	₹ 7,549	₹ 10,432	₹ 13,679	₹ 17,743	₹ 22,024
Current Liabilities	₹ 4,722	₹ 6,155	₹ 7,436	₹ 9,363	₹ 14,332	₹ 16,062	₹ 18,313	₹ 21,058	₹ 24,327	₹ 28,151
Current Ratio	0.8x	0.7x	0.6x	0.7x	0.5x	0.5x	0.6x	0.6x	0.7x	0.8x
Current Assets	₹ 3,907	₹ 4,407	₹ 4,328	₹ 6,568	₹ 6,988	₹ 7,549	₹ 10,432	₹ 13,679	₹ 17,743	₹ 22,024
Inventory	₹ 1,184	₹ 1,760	₹ 1,498	₹ 1,553	₹ 2,094	₹ 2,312	₹ 2,693	₹ 2,908	₹ 3,301	₹ 3,697
Other Current Assets	₹ 386	₹ 978	₹ 724	₹ 710	₹ 1,111	₹ 994	₹ 1,158	₹ 1,332	₹ 1,511	₹ 1,693
Current Liabilities	₹ 4,722	₹ 6,155	₹ 7,436	₹ 9,363	₹ 14,332	₹ 16,062	₹ 18,313	₹ 21,058	₹ 24,327	₹ 28,151
Quick Ratio (Acid Test Ratio)	0.5x	0.3x	0.3x	0.5x	0.3x	0.3x	0.4x	0.4x	0.5x	0.6x
Inventory Days	0 days	69 days	68 days	54 days	55 days	59 days	59 days	55 days	55 days	55 days
Debtor Days	0 days	17 days	20 days	25 days	36 days	24 days	24 days	25 days	25 days	25 days
Creditor Days	0 days	131 days	131 days	120 days	106 days	120 days	120 days	120 days	120 days	120 days
Cash Conversion Days	0 days	-45 days	-42 days	-41 days	-16 days	-38 days	-38 days	-40 days	-40 days	-40 days

Leverage Ratios / Solvency Ratios

Total Debt	₹ 216	₹ 868	₹ 163	₹ 196	₹ 8,483	₹ 6,523	₹ 6,932	₹ 7,362	₹ 8,058	₹ 8,373
Total Equity	₹ 4,863	₹ 6,316	₹ 7,624	₹ 9,576	₹ 14,568	₹ 16,298	₹ 18,549	₹ 21,294	₹ 24,563	₹ 28,387
Debt to Equity Ratio	0.04x	0.14x	0.02x	0.02x	0.58x	0.40x	0.37x	0.35x	0.33x	0.29x
Total Debt	₹ 216	₹ 868	₹ 163	₹ 196	₹ 8,483	₹ 6,523	₹ 6,932	₹ 7,362	₹ 8,058	₹ 8,373
Total Assets	₹ 6,373	₹ 9,148	₹ 9,715	₹ 11,963	₹ 27,760	₹ 28,005	₹ 30,898	₹ 34,312	₹ 38,515	₹ 42,883
Debt to Assets Ratio	0.0x	0.1x	0.0x	0.0x	0.3x	0.2x	0.2x	0.2x	0.2x	0.2x
Total Equity	₹ 4,863	₹ 6,316	₹ 7,624	₹ 9,576	₹ 14,568	₹ 16,298	₹ 18,549	₹ 21,294	₹ 24,563	₹ 28,387
Total Assets	₹ 6,373	₹ 9,148	₹ 9,715	₹ 11,963	₹ 27,760	₹ 28,005	₹ 30,898	₹ 34,312	₹ 38,515	₹ 42,883
Equity Ratio	0.8x	0.7x	0.8x	0.8x	0.5x	0.6x	0.6x	0.6x	0.6x	0.7x

Profitability / Margins Ratio	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
Gross Profit	₹ 4,443	₹ 5,360	₹ 5,836	₹ 7,125	₹ 8,352	₹ 9,507	₹ 11,176	₹ 12,968	₹ 14,850	₹ 16,780
Total Sales	₹ 6,224	₹ 7,782	₹ 8,749	₹ 10,335	₹ 12,207	₹ 14,404	₹ 16,781	₹ 19,298	₹ 21,903	₹ 24,532
Gross Margin	71.4%	68.9%	66.7%	68.9%	68.4%	66.0%	66.6%	67.2%	67.8%	68.4%
EBITDA	₹ 1,658	₹ 1,989	₹ 1,901	₹ 2,535	₹ 2,652	₹ 3,097	₹ 3,709	₹ 4,381	₹ 5,103	₹ 5,863
Total Sales	₹ 6,224	₹ 7,782	₹ 8,749	₹ 10,335	₹ 12,207	₹ 14,404	₹ 16,781	₹ 19,298	₹ 21,903	₹ 24,532
EBITDA Margin	26.6%	25.6%	21.7%	24.5%	21.7%	21.5%	22.1%	22.7%	23.3%	23.9%
EBIT	₹ 1,539	₹ 1,823	₹ 1,575	₹ 2,137	₹ 2,031	₹ 2,435	₹ 3,002	₹ 3,616	₹ 4,278	₹ 4,977
Total Sales	₹ 6,224	₹ 7,782	₹ 8,749	₹ 10,335	₹ 12,207	₹ 14,404	₹ 16,781	₹ 19,298	₹ 21,903	₹ 24,532
EBIT Margin	24.7%	23.4%	18.0%	20.7%	16.6%	16.9%	17.9%	18.7%	19.5%	20.3%
Net Profit	₹ 1,270	₹ 1,424	₹ 1,285	₹ 1,911	₹ 1,616	₹ 1,729	₹ 2,251	₹ 2,745	₹ 3,269	₹ 3,824
Total Sales	₹ 6,224	₹ 7,782	₹ 8,749	₹ 10,335	₹ 12,207	₹ 14,404	₹ 16,781	₹ 19,298	₹ 21,903	₹ 24,532
Net Profit Margin	20.4%	18.3%	14.7%	18.5%	13.2%	12.0%	13.4%	14.2%	14.9%	15.6%
Net Income	₹ 1,270	₹ 1,424	₹ 1,285	₹ 1,911	₹ 1,616	₹ 1,729	₹ 2,251	₹ 2,745	₹ 3,269	₹ 3,824
Total Assets	₹ 6,373	₹ 9,148	₹ 9,715	₹ 11,963	₹ 27,760	₹ 28,005	₹ 30,898	₹ 34,312	₹ 38,515	₹ 42,883
Return on Assets	19.9%	15.6%	13.2%	16.0%	5.8%	6.2%	7.3%	8.0%	8.5%	8.9%
Net Income	₹ 1,270	₹ 1,424	₹ 1,285	₹ 1,911	₹ 1,616	₹ 1,729	₹ 2,251	₹ 2,745	₹ 3,269	₹ 3,824
Total Equity	₹ 4,863	₹ 6,316	₹ 7,624	₹ 9,576	₹ 14,568	₹ 16,298	₹ 18,549	₹ 21,294	₹ 24,563	₹ 28,387
Return on Equity	26.1%	22.5%	16.9%	20.0%	11.1%	10.6%	12.1%	12.9%	13.3%	13.5%
Efficiency Ratio										
Revenue	₹ 6,224	₹ 7,782	₹ 8,749	₹ 10,335	₹ 12,207	₹ 14,404	₹ 16,781	₹ 19,298	₹ 21,903	₹ 24,532
Total Assets	₹ 6,373	₹ 9,148	₹ 9,715	₹ 11,963	₹ 27,760	₹ 28,005	₹ 30,898	₹ 34,312	₹ 38,515	₹ 42,883
Asset Turnover Ratio	97.7%	85.1%	90.1%	86.4%	44.0%	51.4%	54.3%	56.2%	56.9%	57.2%
COGS	₹ 1,781	₹ 2,422	₹ 2,914	₹ 3,210	₹ 3,855	₹ 4,897	₹ 5,605	₹ 6,330	₹ 7,053	₹ 7,752
Inventory	₹ 1,184	₹ 1,760	₹ 1,498	₹ 1,553	₹ 2,094	₹ 2,312	₹ 2,693	₹ 2,908	₹ 3,301	₹ 3,697
Inventory Turnover Ratio	1.5x	1.4x	1.9x	2.1x	1.8x	2.1x	2.1x	2.2x	2.1x	2.1x
Coverage Ratio										
EBIT		₹ 1,823	₹ 1,575	₹ 2,137	₹ 2,031	₹ 2,435	₹ 3,002	₹ 3,616	₹ 4,278	₹ 4,977
Interest		₹ 59	₹ 44	₹ 34	₹ 429	₹ 561	₹ 503	₹ 535	₹ 577	₹ 615
Debt Repayment		(₹ 652)	₹ 705	(₹ 33)	(₹ 8,287)	₹ 1,960	(₹ 409)	(₹ 430)	(₹ 696)	(₹ 314)
Debt Service Coverage Ratio		-3.1x	2.1x	12409.1x	-0.3x	1.0x	31.8x	34.7x	-35.9x	16.6x
EBIT	₹ 1,539	₹ 1,823	₹ 1,575	₹ 2,137	₹ 2,031	₹ 2,435	₹ 3,002	₹ 3,616	₹ 4,278	₹ 4,977
Interest Expense	₹ 4	₹ 11	₹ 4	₹ 8	₹ 25	₹ 561	₹ 503	₹ 535	₹ 577	₹ 615
Interest Coverage Ratio	415.7x	169.7x	372.6x	262.0x	80.0x	4.3x	6.0x	6.8x	7.4x	8.1x

Acknowledgment

Report prepared by – Khushal Dusane

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Thank you !*